NOVEMBER 2007

professional PLANNER

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PETER SWITZER BLAMES EXCESSIVE LEGISLATION FOR POOR ADVICE

Transparency Matters

CUSTOMERS SPEAK OUT ABOUT CONFUSING FEE STRUCTURES

ALAN KOHLER PROFILES THE POLITICS OF INDECISION

Out of Africa

Vivienne James, a private adviser for Investec, provides insight into the world of boutique banking. Lynn Elsey reports.

Investec may be a relative newcomer to Australia's private banking realm, but if its client profile is any indication, the South African private bank has covered a lot of ground in just a few years. Investec traces its roots to trading as a Johannesburg leasing company in 1974, eventually expanding to an international business platform, with core activities centred in South Africa and the UK. Investec entered the Australian market in 1997 and acquired a banking license in 2002. It currently has offices in Sydney, Melbourne, Brisbane and Perth.

Investec Bank (Australia) Limited offers a range of investment banking services and products to high net worth individuals, the corporate market and charitable organisations.

With client investment assets set at a minimum of $2 million, working as one of Investec's four private advisers provides Vivienne James with a fairly sophisticated clientele. According to James, Investec is quite prescriptive with its private banking strategy: to achieve, after tax and inflation, a five percent return plus return of capital. The private advisers aim to reach this target through a mixture of shares, property, fixed interest and cash.

THE PROCESS

Investec advisers work up a model for new clients, covering a one to five year period, to provide what they feel are realistic expectations. Implementation involves a mixture of strategies, "depending on a client's comfort and goals," James says. The key is meeting the client's income requirements.

James says that one of the challenges of the job is communication; ensuring that the client understands the bank's philosophy. She feels that a key to achieving this and overall success as an adviser is to "start by listening to your client" in order to understand what they want to achieve and their problems. James holds face-to-face meetings with her clients quarterly, which allows her to discuss recent events which might affect her client, such as a change of a fund's manager.

THE NITTY GRITTY

Investec private advisers operate under a very specific fee structure, determined by assets under advice. Clients need to have a minimum of $2 million available for investment; quite an increase in the three years since James came on board, when client asset minimums were "closer to $1 million".

According to James, the current fee structure came about because two of the Australian partners at Investec are accountants who didn't like charging on an hourly basis. They felt that clients would be reluctant to call and ask for advice, even though it was needed, if it was going to cost them. James says there has been reluctance by clients to accept a straight fee, hence the asset-based model.

Investec advisers rebate all upfront commissions, "but it's not often that we have any, as we mostly use direct shares and wholesale funds," James says. However, they don't rebate trailing fees. James said that these constitute such an insignificant amount that the cost of administration to calculate and pay back doesn't justify it. She says that this is always fully explained and not an issue to her clients. She does, however, agree that there is a potential conflict with trails and says that Investec advisers always try to dial them down.

James currently has 50 clients – all came to her as referrals – and is targeted to increase that to 65. The largest component of her pay is her base salary, which is augmented by bonuses that come mainly from developing and increasing her client base.

James prides the Investec advisory service as being completely transparent, through total disclosure of all fees to the client. "Conflict of interest is important because of how it appears to the client, especially regarding referral business," she says. James admits that although Investec advisers operate on a fee-based structure, some potential conflicts do exist, mainly from the Investec products which are available to clients.

> 'Conflict of interest is important because of how it appears to the client'

"We aren't truly independent," she says, "but the product is separate." Although Investec "doesn't produce a lot of products" they do exist and the advisers do recommend them. James admits that someone in Investec "will get a fee from that investment; it will go indirectly to private advisers" but wasn't clear on the specifics. "We try and manage it the best we can." ■

A New Approach to Fixed Income

Market realities demand broader expertise and flexible guidelines in fixed income investing, according to Peter Walsh.

As with many other asset classes, the landscape for global bonds has significantly evolved over the past 20 years. Sector, sub sector, and security-specific opportunities have replaced traditional country/currency driven strategies as the most important determinants of returns. These new market realities require more sophisticated investment techniques from managers and broader investment guidelines from investors.

Since the mid 1990s, policy is more consistent across the globe and information is readily available (See Figure 1 below). Yields are lower, spreads are lower and volatility is down. At the same time, the market has become much broader in terms of investment liquid sectors and deeper in terms of sub sectors and securities within sectors. Issuance in fixed income markets has migrated from government-backed securities to bonds issued by corporations or securitised by mortgage payments or other cash flows.

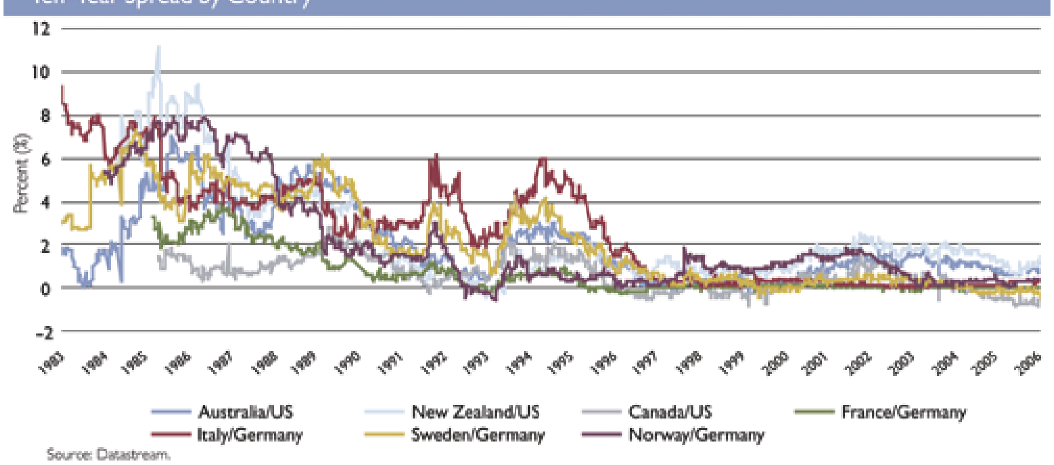
As a sophisticated, complex asset class, today's global fixed income markets are deeper and more efficient than in the past, so it is harder to correctly call top-down decisions based solely on duration or country views. Because the rewards are not as easy to come by, fixed income managers must reach deeper to provide broader sector and security selection. In return, this response provides managers with myriad opportunities to generate excess return for investors. And, unlike the days when outsized wins made it easy to overlook risks, managers must preserve what they make.

OPPORTUNITIES ABOUND

The prospects within today's global bond markets provide wide ranging options, including macro, structured, or credit strategies opportunities. Global term structure or macro strategies still offer alpha-generating possibilities, including variances in currency values, economic growth rates (macro research), and monetary and fiscal policies across Europe, Japan, and US economic blocs.

Structured securities are still an attractive source of incremental excess return. The size of the global securitised debt sector is huge, exceeding $US 5 trillion by some estimates.

Ten-Year Spread by Country



Source: Datastream.

The following securities offer the advantages of collateralisation and diversification:

- Mortgage-backed securities (MBS); the largest sub sector
- Asset-backed securities (ABS) and commercial mortgage-backed securities (CMBS)
- Structured credit products, such as collateralised debt obligations (CDOs), collateralised loan obligations (CLOs), and collateralised bond obligations (CBOs); the newest frontier.

Credit sectors, especially global corporate high-yield bonds and emerging-market debt are another significant alpha source. Global high-yield corporate bonds have weathered several market cycles and measure nearly $US 1 trillion. As one of the strongest performers over the past 15 years, emerging-market debt has evolved from a tactical allocation to a strategic asset class in the eyes of many investors.

STRATEGIES

Successful investing in today's expanding global bond market requires broad and deep expertise. The strategies that advisers should look for their fixed income managers to employ to more effectively capture opportunities, and thus improve returns for investors, are as follows.

SMALLER BETS, MULTIPLE STRATEGIES: Instead of relying on big, macro decisions, managers should make a number of smaller calls across diverse strategies. This reduces the dependence on one particular market or economic environment and increases the likelihood of achieving return targets over the long term with the optimal risk/return balance.

SECTOR SPECIALIST TEAMS: To take advantage of the excess return available through security selection, teams of specialists aligned with the various bond sectors — government, securitised, investment-grade credit, high-yield credit, emerging-market debt, bank loans, etc. — can make a big difference. Each team can identify compelling strategies and securities within its area of expertise.

CENTRALISED PORTFOLIO CONSTRUCTION: A portfolio construction team can select from amongst the strategies recommended by the specialists to systematically build a portfolio of multiple strategies that carefully balances risk and return.

SOPHISTICATED RISK MANAGEMENT: This is another critical factor in today's more efficient fixed income market. The portfolio construction team must not only be able to identify risks, but also to quantify its volatilities, correlations, and likely portfolio interactions. Strategies should be balanced so no single factor contributes too much risk to the portfolio.

HIGH INFORMATION RATIOS (IRS): Look for managers with high IRS or high returns per unit of risk — not just high returns. High IRS are proof statements of well-run processes.

FLEXIBLE GUIDELINES: Managers need flexibility to take advantage of the full range of opportunities across multiple sectors. Advisers should ensure that the guidelines of the funds that they are using are aligned with the new market realities.

In today's global fixed income environment, top-down strategies have become less successful and more risky. The best way to capture excess return is through multiple strategy portfolios that invest across global sectors; through specialised expertise that can uncover and capture the unique opportunities embedded within each sector; and through advanced portfolio construction/risk management techniques. With these factors in place, the best collective ideas of specialists can make their way into a portfolio that achieves the desired return target within the prescribed risk framework. ■

Peter Walsh is Senior Vice President, Director of Putnam Investments Australia. He is responsible for the management of Putnam's retail investments including marketing activities, business relationships and product support.

Contango MicroCap Limited

Contango MicroCap Limited
ASX Code: CTN

Pre-tax NTA at 30/09/2007 : $2.215

- Gross portfolio return of 86.1%* for year to September 2007
- Broadly based portfolio of high growth microcap companies
- Employs a very successful investment approach
- Annualised gross portfolio return of 54.9%* since inception in March 2004
- Contango MicroCap Limited is managed by Contango Asset Management Limited

*Source: Contango Asset Management Limited - The historic performance of the Manager is not a guarantee of the future performance of the Portfolio or the company.

Contango Capital Partners Limited

Contango Capital Partners Limited
ASX Code: CCQ

Pre-tax NTA at 30/09/2007 : $1.019

- The company was listed on the ASX on 30th May 2007
- Key activity is to invest in financial services companies in Australia, New Zealand and Asia
- Foundation investment in Contango Asset Management
- Contango Asset Management Performance:

	30/09/2007
Australian Equities	38.2%
Small Companies	53.6%
Micro Cap	86.1%
Income Generator	29.7%

*Source: Contango Asset Management Limited - The historic performance of the Manager is not a guarantee of the future performance of the Portfolio or the company.

Yielding Along

Frank Gelber of BIS questions the notion that property yields are too low.

Many argue that property yields are too low; that they should be at a risk margin over fixed interest and that they cannot fall below borrowing rates, let alone bond rates. This doesn't make sense. Certainly, bonds and fixed interest are related, but there's more going on here than just that. The main question is what will property yields do from here? And what does that mean for capital growth?

Property and bonds are quite different investment assets. Bonds are a fixed nominal [declining real] value asset with a fixed coupon, while property is a real asset with variable income. Why would you expect their yields to be closely related?

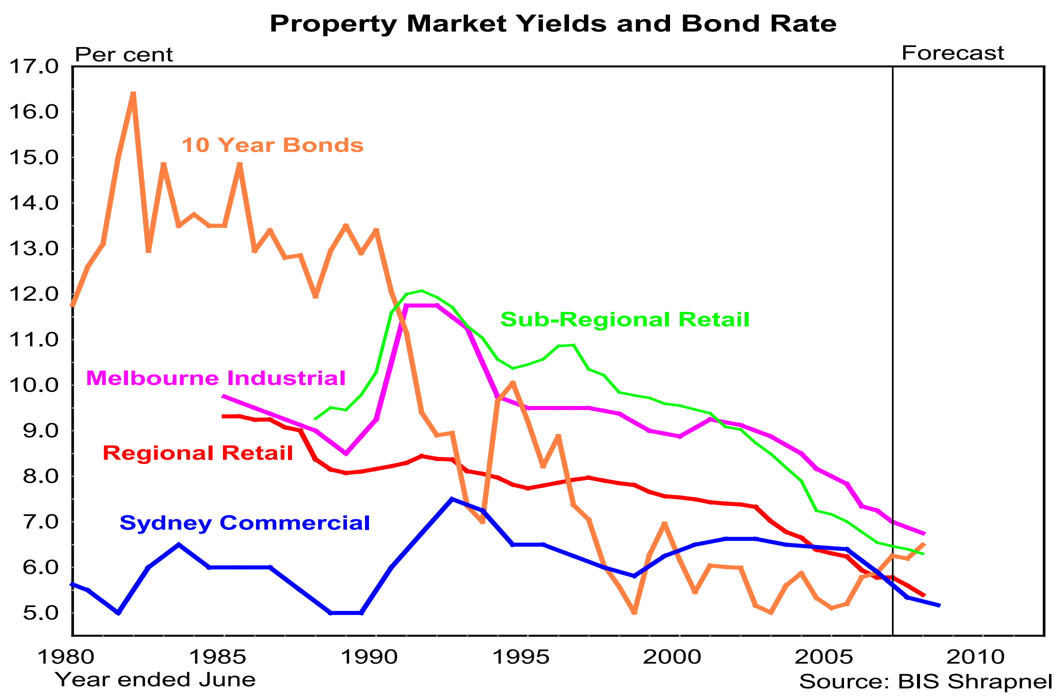
This is not the place to look at bond yields though, if I might say, I regard them as low – driven by US bond rates and then supported by Asian investment. And they could go up further from here.

But bond rates are not the only determinant of property yields. To the contrary, there are some classes of property where they have little influence. Yield formation in different markets is quite different. For me, yield as income is but a small component of total property returns. Over time, the majority of total returns comes from capital growth, driven by a combination of income growth and changing yields (as cap rates). But this can vary dramatically through the cycle from strong positive to strong negative contributions.

Over the years that we've been looking at yield formation, two major influences have dominated. The first is interest rates, the second is expectation of capital gain. But the influence of these factors can be quite different in different property markets.

Some would add 'weight of money' as a major influence. But I regard that more as the transmission mechanism for the more fundamental influences above. When investment conditions are favourable, the inflow of funds causes a firming of yields, and opposite when they aren't.

'This makes commercial property a good diversification from fixed interest'



YIELD ACTION

Many believe that the amount of money going into superannuation funds has been a cause of and, implicitly, will continue to drive firming yields for property. My logic is that super funds are fickle and, in the process of chasing good returns, can move into and out of markets. When sentiment moves against property, property yields will soften.

Falling interest rates and a switch from fixed interest to property have driven a phase of extraordinary returns for retail and industrial property. Fixed interest-style investors relying on declining fixed interest income went hunting for secure cash flows in a real asset. They first found retail and then industrial property. This influence is confirmed in our regression analyses which identified a significant independent influence of interest rates, together with expectations of capital gain, on both retail and industrial yields.

But this isn't the case for all sectors. We have never been able to identify a significant independent influence of interest rates on commercial property yields in any of the commercial property markets – and that's not for lack of trying. I don't think there is one. Office property prices are formed differently, determined primarily by expectations of capital gain, and independently of interest rates. Interestingly, this makes commercial property a good diversification from fixed interest.

What about the proposition that property yields can't fall below the cost of funds? This idea comes both from property markets and from the investment community. The investment decision is much more straightforward when the investment 'washes its face'. For owner occupiers, there is a strong cash flow incentive to invest when borrowing costs are below rental payments. For investors, secure rental streams allow them to gear up to improve return on equity. Hence, a few years ago, the focus was on security of income which allowed LPTs and syndicates to provide securitised assets. At that stage, capital growth was largely ignored. Significantly, the firming of yields and capital growth at the time did a lot more to boost total returns than gearing up on rental income.

CYCLING ON

Now, with a history of strong capital growth, investors are less focused on yields and more on total returns. And that's as it should be.

So what happens next? There's not much prospect of further interest rate declines leading to a firming of yields. To the contrary, the risk is all in the other direction. Either way, it won't have much effect on commercial property.

But that doesn't mean that property yields won't firm any further. Over the next few years, the primary influence on property prices will come from strong demand driving rental growth, both directly by raising income and indirectly through the influence on expectations of capital gain; leading to a firming of yields from that source. Yields have further to fall.

This property cycle has further to run. And each sector needs to be evaluated on its own merits. ■

> 'Investors are less focused on yields and more on total returns'

Dr Frank Gelber is Director and Chief Economist of BIS Shrapnel.